IN THE NATIONAL COMPANY LAW TRIBUNAL
DIVISION BENCH – II, CHENNAI

CP(CAA)/22/CHE/2022 in CA(CAA)54(CHE)/2021

Under Section 230 to 232 of the Companies Act, 2013

In the matter of Scheme of Amalgamation of

M/s. **NIRJALA TELEHOLDINGS LIMITED**
CIN: U30006TN1981PLC008616
Reg Off: A S K Building 1st Floor Room No 2
Old No 44 New No 57 C P Ramaswamy Road
Abhiramapuram Chennai - 600018

.... First Transferor Company

And

M/s. **VAJRESH CONSULTANTS LIMITED**
CIN: U74110TN2007PLC085016
Reg Off: A S K Building 1st Floor Room No 2
Old No 44 New No 57 C P Ramaswamy Road
Abhiramapuram Chennai - 600018

..... Second Transferor Company

With

M/s. **IMPERIAL CONSULTANTS AND SECURITIES LIMITED**
CIN: U65993TN1993PTC024724
Reg Off: A S K Building 1st Floor Room No 2
Old No 44 New No 57 C P Ramaswamy Road
Abhiramapuram Chennai - 600018

..... Transferee Company

And

THEIR RESPECTIVE SHAREHOLDERS AND CREDITORS

Order pronounced on ***27th June 2022***

CORAM:

JUSTICE (RETD) S. RAMATHILAGAM, MEMBER (JUDICIAL)
ANIL KUMAR B, MEMBER (TECHNICAL)

For Petitioner: I.B. Harikrishna, PCS

O R D E R

Per: **Justice (RETD) S. RAMATHILAGAM, MEMBER (JUDICIAL)**

M/s NIRJALA TELEHOLDINGS LIMITED (for brevity The First Transferor Company), M/s. VAJRESH CONSULTANTS LIMITED (for brevity The Second Transferor Company) and M/s IMPERIAL CONSULTANTS AND SECURITIES LIMITED (for brevity The Transferee Company) in their Board of Directors meeting held on 09th June 2021 have accorded their approval for Scheme of Amalgamation (hereinafter referred to as "Scheme") as contemplated between the Petitioner companies. The Scheme is commonly annexed as Annexure 'D' to the typed set filed along with the Petition.

2. **1ST MOTION APPLICATION - IN BRIEF**

2.1. The Transferor & Transferee Companies have filed the First Motion Application vide CA/(CAA)/54/CHE/2021 seeking directions for conducting the meeting of Equity shareholders of Transferor Company-1 and Transferor Company-2 and meeting of Preference shareholder and Unsecured Creditors of Transferee Company and dispensing with the meetings of Unsecured Creditors of

Transferor Company -1, Transferor Company-2 and dispensing with the meeting of the Equity Shareholders of the Transferee Company.

2.2. Based on such application moved under Sections 230-232 of the Companies Act, 2013; directions were issued by this Tribunal, vide order dated 22.09.2021, ordered the convening, holding and conducting meeting of the Equity Shareholders of the Transferor Company-1 and Transferor Company-2 and meeting of Preference shareholder and Unsecured Creditor of the Transferee Company. The chairman has convened and held the meetings of the shareholders of the Transferor Company-1 and Transferor Company-2 and Preference shareholder and unsecured creditors of the Transferee Company separately and filed the result of meetings before this Bench. The applicant companies have NIL Secured Creditors hence the conduct of meeting does not arise. Subsequently the second motion petition was electronically filed before this Tribunal by the petitioner companies on 25.012022 and physical documents submitted on 15.02.2022 for sanction of the Scheme of Amalgamation by this Tribunal.

3. RATIONALE OF THE SCHEME

3.1. The Rationale and benefits of the Scheme as submitted by the Learned Authorized Representative for the Petitioner Companies would inter alia result in the following benefit;

(i) The Transferor Companies and Transferee Company are under the same management being into Holding Subsidiary relationship, the amalgamation of the Transferor Companies with the Transferee Company will remove inefficiencies and result in simplification, streamlining and optimization of the group structure and efficient administration;

ii) Achieving operational and management efficiency by way of consolidation of segregated companies under one Company;

iii) Post-amalgamation of Transferor Companies with Transferee Company, Transferor Companies shall stand dissolved. Consequently, there would be lesser regulatory and legal compliance obligations including accounting, reporting requirements, statutory requirements, tax filings, company law requirements, etc. and therefore reduction in administrative costs.

4. In the second motion application filed by the Petitioner Companies, this Tribunal vide order dated 09.03.2022 has directed the Petitioner Companies to issue notice to the Statutory / Regulatory Authorities viz. (i) Regional Director (Southern Region), (II) RoC, Chennai, (iii) the Income Tax Department, (iv) Official Liquidator and other sectoral regulators, who may govern the working of the respective

companies, as well as for paper publication to be made in "Business Standard", English (All India edition) and "Makkal Kural" Tamil (Tamil Nadu edition)

5. In compliance with the said directions issued by this Tribunal, the Petitioner Companies have filed an affidavit of service in relation to the compliance of the order passed by the Tribunal as noted above and a perusal of the same discloses that the Petitioner Companies have effected paper publication as directed by the Tribunal in one issue "Business Standard", English (All India edition) and "Makkal Kural" Tamil (Tamil Nadu edition) On 25.03.2022. It is also seen that notices have been also served to (i) The Regional Director, Southern Region, Chennai on 29.03.2022, (ii) Registrar of Companies, Chennai on 29.03.2022, (iii) Income Tax Department on 29.03.2022, (iv) Official Liquidator on 29.03.2022, and the proof of the same by way of affidavits has been enclosed with the typed set filed along with the Petitions. Pursuant to the service of notice of the petition the following statutory authorities have responded as follows;

6. STATUTORY AUTHORITIES

6.1. REGIONAL DIRECTOR:

6.1.1. The Regional Director, (hereinafter referred to as 'RD') Chennai to whom the notice was issued, has filed his Report on 07.02.2022 before this Tribunal and has stated at para 8 that Clause 10 of Part C of the Scheme provides for the protection of the Interest of the employees of the Transferor Company. It was further observed that as per

the report of ROC Chennai, the Transferor and Transferee Companies are regular in filing their statutory returns and has reported that there is no prosecution / Inspection or Investigation is pending against the Companies.

6.1.2. Further At para 9, the RD has observed that clause 6.3 of Part B of the scheme state that the Transferee Company may increase/modify its Authorized Share Capital to facilitate the allotment of Cumulative Redeemable Preference shares upon effectiveness of the scheme.

6.1.3. Further at para 11, the RD has observed that clause 6.7 of Part B of the scheme provides for cancellation of shares held by the Transferee Company in the Transferor Companies and by the Transferors companies in the another Transferor Companies. As such all the shares held by the companies shall be treated as cancelled and extinguished upon effectiveness of the scheme.

6.1.4. Further at para 13, the RD has observed that clause 14 of part D of Scheme provided for dissolution of the first Transferor Company and Second Transferor company, without winding up.

6.2. OFFICIAL LIQUIDATOR

6.2.1 In relation to the Official Liquidator, (hereinafter referred to as 'OL') to whom the notice was issued has filed

the Report before this Tribunal on 31.05.2022 has stated that they have appointed M/s. Karpagam Krishnan & Natarajan, Chartered Accountants from the panel maintained by their office to verify into the affairs of the Transferor Companies, wherein based on the report of the independent auditor (appointed by the office OL) had concluded that the affairs of the Petitioner Company have not been conducted in a manner prejudicial to the interest of its members or creditors or to the public. Further based on the prayer of the Official Liquidator in said report, the remuneration for the independent auditor is fixed as **Rs.50,000/-** *(Rupees Fifty Thousand Only)* for each transferor company, and the same maybe paid by the Transferor Company within a period of one week from the date of this order.

6.3. INCOME TAX DEPARTMENT:

In spite of notice having been served to the Income Tax department by the Companies on 29.03.2022, there was neither any representation nor any report filed by the said authorities. In the said circumstances as per section 230(5) of the Companies Act, 2013, this Tribunal presumes that the said Department does not have any objection to the sanction of the Scheme.

6.4 OTHER STATUTORY AUTHORITIES

In relation to the other statutory authorities to whom notices have been issued, neither they have filed any reply nor raised any objections to the Scheme and in the circumstances, this

Tribunal presumes that other statutory Departments does not have any objection to the sanction of the Scheme.

7. VALUATION REPORT

7.1. The Learned Authorized Representative for the Petitioner Companies invited the attention of this Tribunal to the Valuation Report obtained from Rashmi Shah, Registered Valuer dated 09.06.2021, wherein it has been mentioned that:

> *"36000(Thirty Six Thousand) Fully paid-up 10% Cumulative Redeemable Preference Shares having Nominal value of Rs.10/- each (Rupees Ten Only) each against 1 (one) Equity Share of Rs. 10/- each held in First Transferor Company.*
>
> *1 (one), Fully paid-up 10% Cumulative Redeemable Preference Shares having Nominal value of Rs.10/- each (Rupees Ten Only) each against 1 (one) Equity Share of Rs. 10/- each held in Second Transferor Company.*

8. ACCOUNTING TREATMENT

8.1. The Learned Authorized Representative for the Petitioner Companies has stated that the Statutory Auditors of the Petitioner Companies have examined the Scheme and has certified that the Petitioner Companies have complied with proviso to Section 230 (7) / Section 232 (3) and the Accounting Treatment contained in the proposed Scheme of

Arrangement is in compliance with the Applicable Indian Accounting Standards. The Certificates issued by the Statutory Auditors certifying the Accounting Treatment of the Petitioner Companies are placed as 'Annexure - F' to the typed set filed along with the Petition.

9. OBSERVATIONS OF THIS TRIBUNAL

9.1. After analysing the Scheme in detail, this Tribunal is of the considered view that the scheme as contemplated amongst the petitioner companies seems to be prima fade beneficial to the Company and will not be in any way detrimental to the interest of the shareholders of the Company. In view of the absence of any other objections having been placed on record before this Tribunal and since all the requisite statutory compliances having been fulfilled, this Tribunal sanctions the Scheme of Arrangement appended as Annexure "D" with the Company Petition as well as the prayer made therein.

10.2. The Learned Authorized Representative for the Petitioner companies submitted that no investigation proceedings are pending against the Transferor or Transferee Companies under the provisions of the Companies Act, 1956 or the Companies Act, 2013 and no proceedings against the petitioner companies for oppression or mismanagement have been filed before this Tribunal or erstwhile Company Law Board.

10.3. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment,

statutory rule or regulation, the sanction granted by this Tribunal will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

10.4. While approving the Scheme as above, it is clarified that this order should not be construed as an order in any way granting exemption from payment of stamp duty, taxes or any other charges, if any, payment is due or required in accordance with law or in respect to any permission/compliance with any other requirement which may be specifically required under any law.

10. **THIS TRIBUNAL DO FURTHER ORDER**:

i. That all properties, right and interest of the Transferor Companies shall, pursuant to section 232(3) of the Companies Act 2013 without further act or deed be transferred to and vest in or be deemed to have been transferred and vested in the Transferee Company.

ii. That all the liabilities, powers, engagements, obligations and duties of the Transferor Companies shall pursuant to Section 232(3) of the Companies Act, 2013 without further act or deed be transferred to the Transferee Company and accordingly the same become the liabilities and duties of the Transferee Company.

iii. That the Appointed date for the Scheme shall be 1st July, 2020 as specified In the Scheme

iv. That all proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company.

v. That all the employees of the Transferor Companies in service on date immediately preceding the date on which the Scheme finally takes effect shall become the employees of the Transferee Company without any break or interruption in their service.

vi. That the Transferee Company do without further application allot to such members of the Transferor Companies, as have not given such notice of dissent, as is required by Clause 6.2 of Part B of the SCHEME herein the shares in the Transferee Company to which they are entitled under the said SCHEME

vii. That the Transferee Company shall file the revised Memorandum and Articles of Association with the Registrar of Companies, Chennai and further make the requisite payments of the differential fee (if any) for the enhancement of authorized capital of the Transferee Company after setting off the fees paid by the Transferor Company.

viii. That the Transferor Companies and the Transferee Company, shall within thirty days of the date of receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies for registration and on such certified copy being so delivered, the Transferor Companies shall be dissolved and the

Registrar of Companies shall place all documents relating to the Transferor Companies registered with him on the file kept by him in relation to the Transferee Company and the files relating to both the said companies shall be consolidated accordingly.

ix. That any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

11. Accordingly, the Company Petition stands **allowed** on the aforementioned terms.

-SD-

ANIL KUMAR B
MEMBER (TECHNICAL)

-SD-

Justice (Retd.) S. RAMATHILAGAM
MEMBER (JUDICIAL)

Raymond